

Chapter 8: Products, Services, and Brands – Building Customer Value

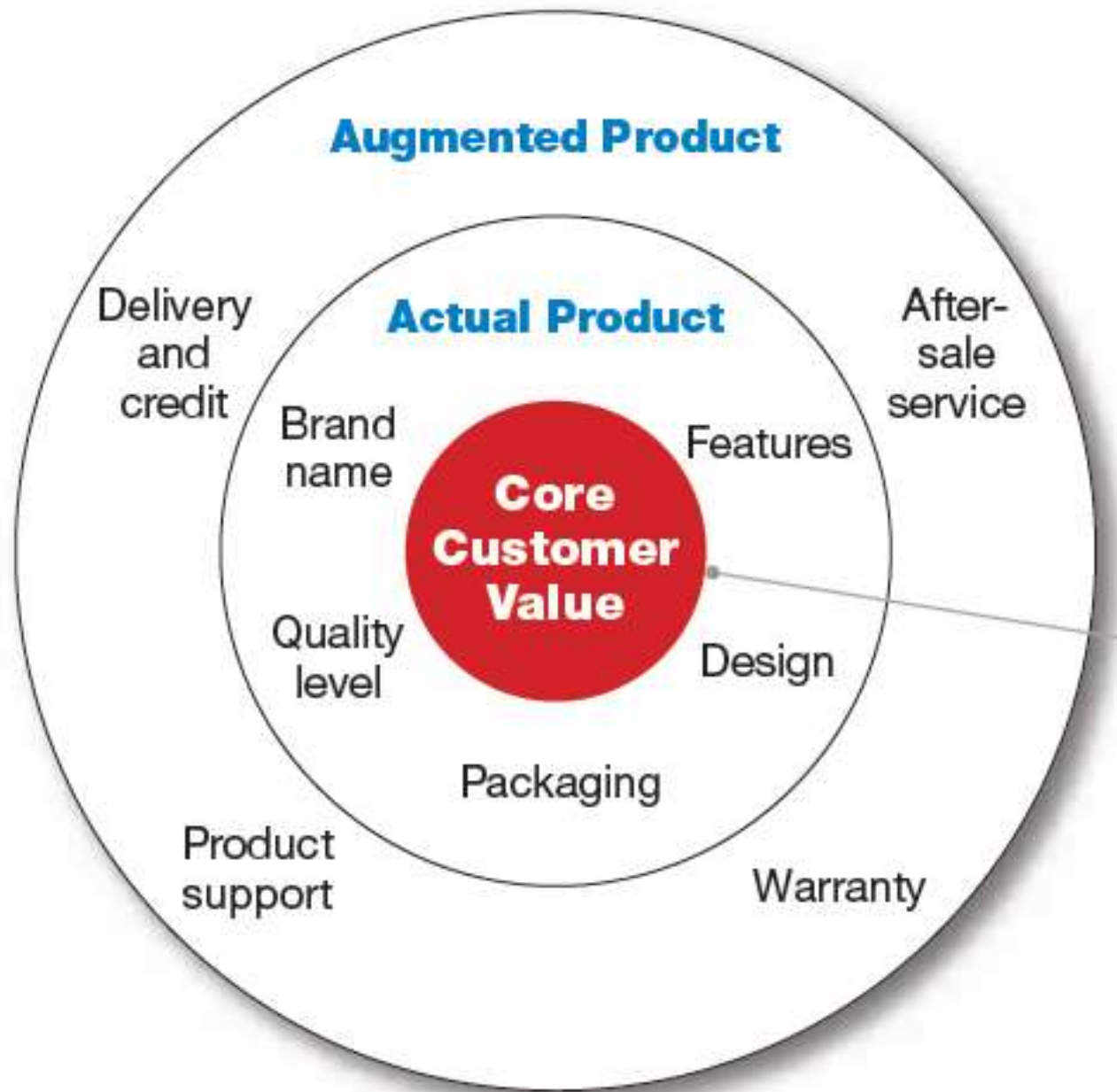
Kotler & Armstrong - Principles of Marketing (17th Edition)

2: What is a Product?

- Definition: A product is anything offered to a market for attention, acquisition, use, or consumption that satisfies a need or want.
- - Includes physical goods, services, events, persons, places, organizations, ideas, and experiences
- - Services: Intangible products (e.g., telecom services, education)

3: Levels of Product

- - Core Customer Value: The basic benefit sought by the consumer
- - Actual Product: Brand name, features, design, packaging
- - Augmented Product: Additional services/benefits (warranty, delivery, after-sale service)
- Example: Buying a car—core value is transportation, actual product is the vehicle, augmented includes warranty and support.



4: Product and Service Classifications

- - Consumer Products: Convenience, shopping, specialty, unsought
- - Industrial Products: Materials, parts, capital items, supplies
- - Services: Intangible, variable, inseparable, perishable
- Example: Nestlé classifies bottled water as a convenience product.

Table 8.1 | Marketing Considerations for Consumer Products

Marketing Considerations	Type of Consumer Product			
	Convenience	Shopping	Specialty	Unsought
Customer buying behavior	Frequent purchase; little planning, little comparison or shopping effort; low customer involvement	Less frequent purchase; much planning and shopping effort; comparison of brands on price, quality, and style	Strong brand preference and loyalty; special purchase effort; little comparison of brands; low price sensitivity	Little product awareness or knowledge (or, if aware, little or even negative interest)
Price	Low price	Higher price	High price	Varies
Distribution	Widespread distribution; convenient locations	Selective distribution in fewer outlets	Exclusive distribution in only one or a few outlets per market area	Varies
Promotion	Mass promotion by the producer	Advertising and personal selling by both the producer and resellers	More carefully targeted promotion by both the producer and resellers	Aggressive advertising and personal selling by the producer and resellers
Examples	Toothpaste, magazines, and laundry detergent	Major appliances, televisions, furniture, and clothing	Luxury goods, such as Rolex watches or fine crystal	Life insurance and Red Cross blood donations

5: Individual Product Decisions

- - Product Attributes: Quality, features, design
- - Branding: Name, term, sign, symbol
- - Packaging: Protection, promotion
- - Labeling: Identifies and describes product
- - Product Support Services: Customer care, warranty

6: Product Line and Product Mix Decisions

- - Product Line: Group of related products (e.g., all shampoo types by Sunsilk)
- - Line Length: Number of items in the line
- - Product Mix: All product lines and items offered

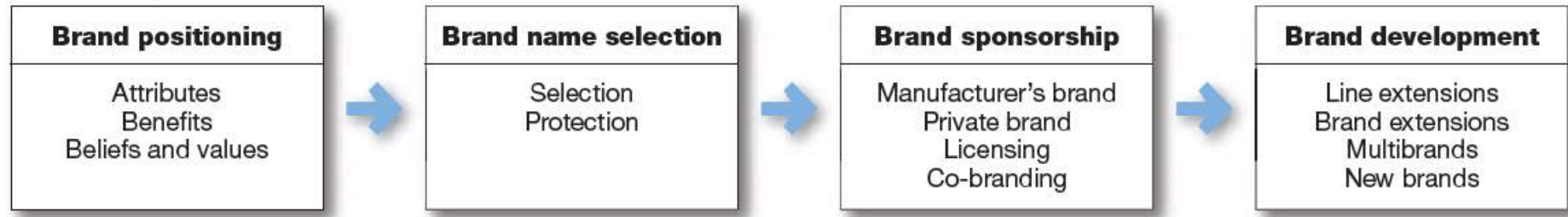
7: Services Marketing Strategies

- - Characteristics: Intangibility, variability, inseparability, perishability
- - Strategies:
 - • Service differentiation (e.g., responsiveness)
 - • Service quality management
 - • Service productivity (efficiency improvements)
- Example: Airblue emphasizes punctuality and courteous staff

8: Branding Strategy Decisions

- - Brand Equity: Value derived from brand strength
Brand equity
- The differential effect that knowing the brand name has on customer response
- to the product or its marketing.
- - Brand Positioning: Attributes, benefits, beliefs
- - Brand Name Selection: Suggestive, easy, extendable
- - Brand Sponsorship: Manufacturer, private, licensed, co-branding
- - Brand Development: Line extension, brand extension, multibrands, new brands

Brand decisions & Brand Strategies



		Product category	
		Existing	New
Brand name	Existing	Line extension	Brand extension
	New	Multibrands	New brands

- Line extension
- Extending an existing brand name to new forms, colors, sizes, ingredients, or flavors of an existing product category.
- Brand extension
- Extending an existing brand name to new product categories.

Intangibility

Services cannot be seen, tasted, felt, heard, or smelled before purchase

Inseparability

Services cannot be separated from their providers

Services

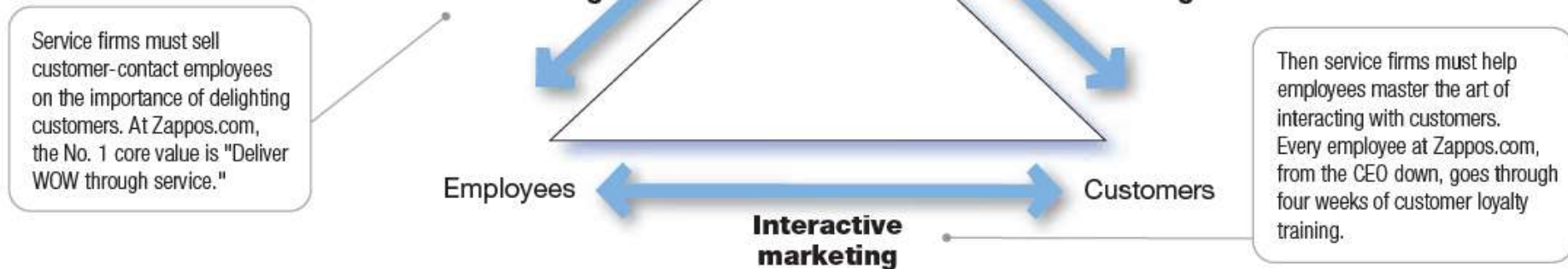
Variability

Quality of services depends on who provides them and when, where, and how

Perishability

Services cannot be stored for later sale or use

| 8.4 s of Services Marketing



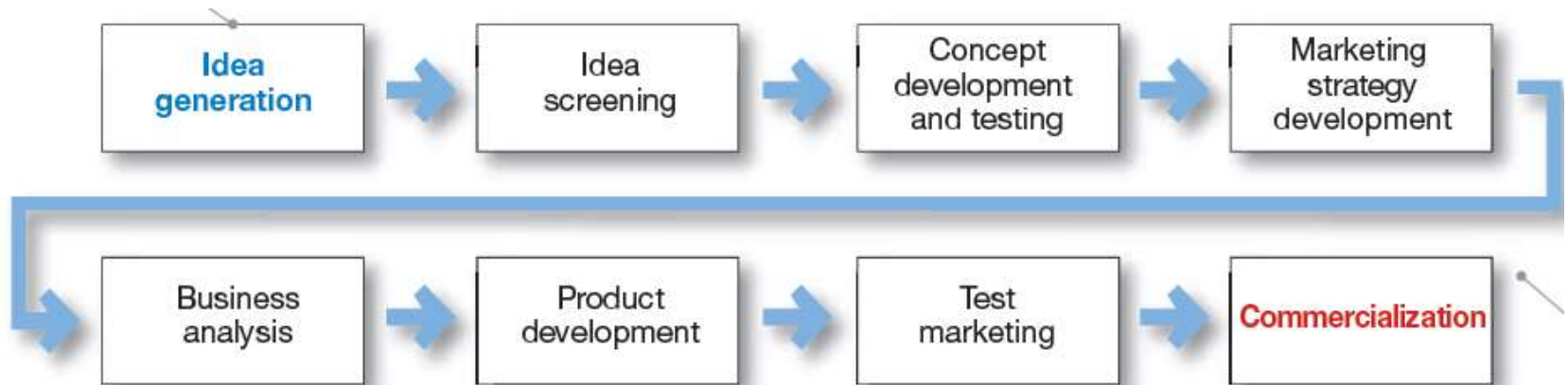
9: Case Study – Local Examples

- - Engro Foods: Uses branding to build loyalty for Olper's milk
- - Telenor Pakistan: Co-brands financial products with Easypaisa
- - Daraz.pk: Extends product mix by including electronics, fashion, and groceries
- - Unilever: Multibrand strategy with Surf Excel, Rin, and Wheel

10: Summary – Delivering Value Through Offerings

- - Products and services must be designed to deliver core customer value
- - Branding builds preference and trust
- - A clear product strategy enhances market success
- Application: Review branding strategy of a local service like Careem

Chapter 9



● FIGURE | 9.1
Major Stages in New Product Development

Crowdsourcing: Inviting broad communities of people—customers, employees, independent scientists and researchers, and even the public at large—into the new product innovation process.

Idea screening: Screening new product ideas to spot good ones and drop poor ones as soon as possible product concept A detailed version of the new product idea stated in meaningful consumer terms.

Concept testing: Testing new product concepts with a group of target consumers to find out if the concepts have strong consumer appeal.

Marketing strategy development:

Designing an initial marketing strategy for a new product based on the product concept.

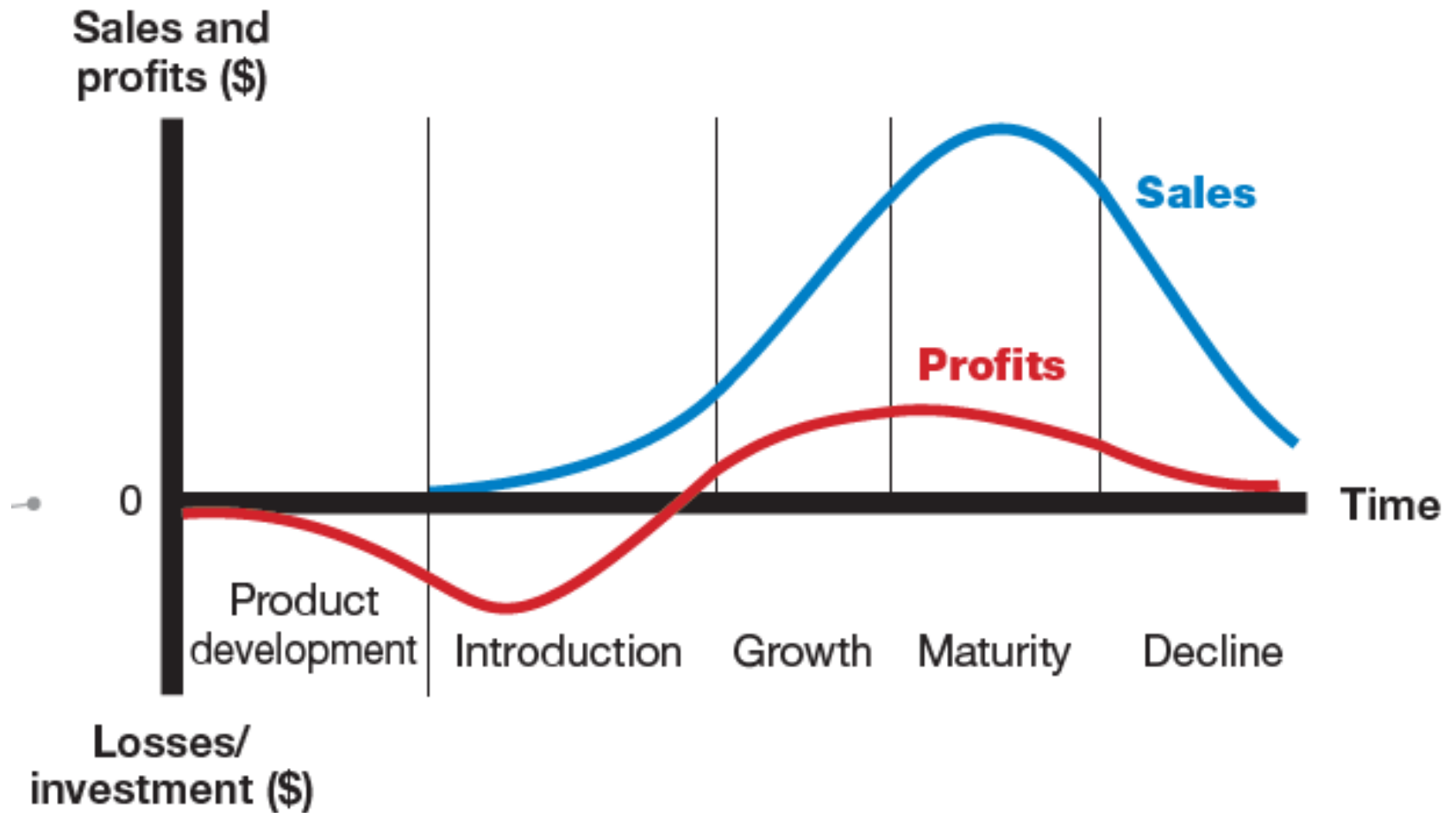
Business analysis: A review of the sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives.

Product development: Developing the product concept into a physical product to ensure that the product idea can be turned into a workable market offering.

Test marketing The stage of new product development in which the product and its proposed marketing program are tested in realistic market settings.

Commercialization: Introducing a new product into the market

Product Life cycle



	Introduction	Growth	Maturity	Decline
Characteristics				
Sales	Low sales	Rapidly rising sales	Peak sales	Declining sales
Costs	High cost per customer	Average cost per customer	Low cost per customer	Low cost per customer
Profits	Negative	Rising profits	High profits	Declining profits
Customers	Innovators	Early adopters	Mainstream adopters	Lagging adopters
Competitors	Few	Growing number	Stable number beginning to decline	Declining number
Marketing objectives				
	Create product engagement and trial	Maximize market share	Maximize profit while defending market share	Reduce expenditure and milk the brand
Strategies				
Product	Offer a basic product	Offer product extensions, service, and warranty	Diversify brand and models	Phase out weak items
Price	Use cost-plus	Price to penetrate market	Price to match or beat competitors	Cut price
Distribution	Build selective distribution	Build intensive distribution	Build more intensive distribution	Go selective: phase out unprofitable outlets
Advertising	Build product awareness among early adopters and dealers	Build engagement and interest in the mass market	Stress brand differences and benefits	Reduce to level needed to retain hard-core loyals
Sales promotion	Use heavy sales promotion to entice trial	Reduce to take advantage of heavy consumer demand	Increase to encourage brand switching	Reduce to minimal level